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Equinix Inc. | North America

2Q26: Investing for Growth – Reiterate OW and Top Pick

AlphaSignals Earnings Reaction

Unchanged Impact to our thesis	↑ Modest upside Financial results versus consensus	— Largely unchanged Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

Equinix raised both '26 and long-term rev and AFFO growth guidance on strong momentum and broad enterprise demand for capacity. Increased capex to \$5-7bn annually over '27 - '29 as demand signals remain robust. Raise rev ests modestly, PT remains \$1,250, reiterate OW with 3x risk/reward skew.

Key Takeaways

- EQIX delivered \$424mn in annualized gross bookings (+23% y/y) vs \$369mn MSe. +9.7k net interconnections and 11% y/y monthly recurring rev vs. 11.6% y/y MSe.
- '26 rev growth guide +50bps to 10.7%-11.6% y/y. LT guide raised 10-13% annual rev growth, '29 53%+ Adj. EBITDA margin, \$5bn-\$7bn annual capex, 9-12% AFFO/sh.
- EQIX outlined broad enterprise AI adoption as tenants run open models on private AI infrastructure, deploy sovereign AI stacks, train models and reduce latency.
- 8 of the top 10 AI model providers and neoclouds are running workloads within Equinix facilities. We see scaled interconnection network as a key driver.
- Reiterate OW with a mid-'27 \$1,250 PT, an implied ~25x fwd. AFFO and ~26x fwd. EBITDA. Bull case to \$1,500 implies ~50% upside and ~28x fwd. AFFO.

Impact on investment outlook: EQIX remains our Top Pick within our Communications Infrastructure coverage. We continue to see inflecting AI inference workloads proliferating across enterprises and serving as a rising tide of capacity demand for scaled and powered colocation data center operators. 2Q results, with 23% y/y growth in gross bookings and a record addition of 9,700 net interconnection, further strengthen this view. **8 of the top 10 AI model providers and 8 of the top 10 neoclouds are running key networking workloads in Equinix facilities.** We continue to see proliferating AI use cases, and in particular latency-sensitive demand, to serve as a tailwind to revenue and AFFO growth. We reiterate OW, see an attractive 3x risk/reward skew and maintain our mid'27 price of \$1,250, an implied ~25x fwd. AFFO or ~26x fwd. EBITDA.

While 2Q upside largely driven by non-recurring xScale fee revenue, 3Q guidance

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Equinix Inc. (EQIX.O, EQIX US)

Top Pick

Communications Infrastructure | United States of America

Stock Rating	Overweight
Industry View	In-Line
Price target	\$1,250.00
Shr price, close (Jul 29, 2026)	\$1,008.02
Mkt cap, curr (mm)	\$99,935
52-Week Range	\$1,128.68-720.62

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (\$) **	14.79	17.98	19.04	20.52
Prior EPS (\$) **	-	17.59	18.93	20.79
P/E	51.8	56.1	52.9	49.1
EPS (\$) §	15.82	17.97	20.22	22.25
Div yld (%)	2.5	2.0	2.3	2.6

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)

Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	-	-	-	-	-
Q2	-	-	-	-	-
Q3	-	-	-	-	-
Q4	-	-	-	-	-

e = Morgan Stanley Research estimates

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was in line with estimates and total '26 revenue growth guidance raised by 50bps to 10.7% - 11.6% y/y and increased its AFFO/share growth outlook to 11.4% - 12.9%. Longer term, Equinix raised its '27 - '29 targets from the prior analyst day last June and now expects 10% - 13% annual revenue growth, a 53%+ adjusted EBITDA margin by '29, \$5bn - \$7bn of annual capex, and 9% - 12% annual AFFO/share growth.

Equinix highlighted **four distinct enterprise AI use cases emerging across its customer base**:

- **Stack:** Enterprises are running open models on private AI infrastructure to reduce token costs.
- **Sovereign:** Enterprises are deploying sovereign AI stacks to satisfy data residency and compliance requirements.
- **Batch:** Customers are deploying AI "centers of excellence" and AI factories for model training and batch inferencing at Equinix.
- **Latency sensitive:** Enterprises are placing inference infrastructure within specific metros to reduce latency and lower data backhaul costs.

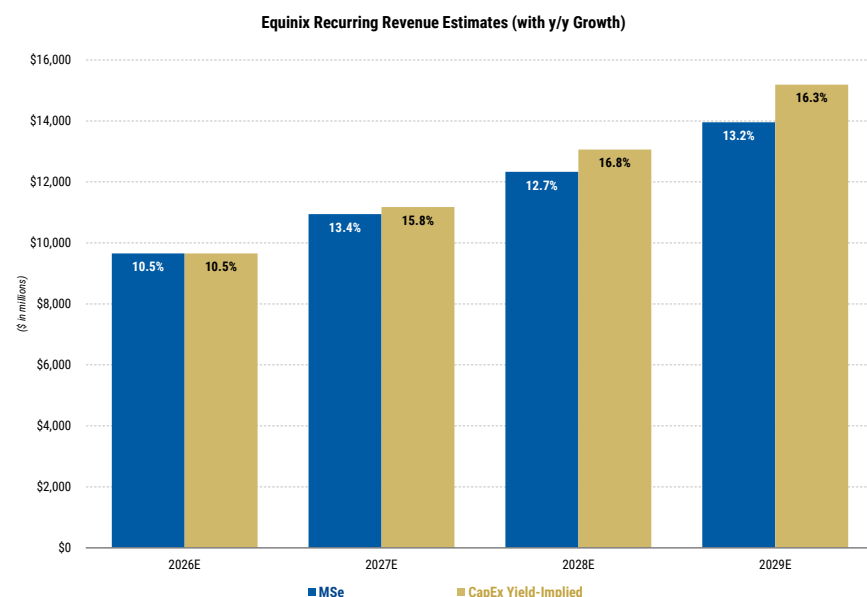
Capex was again increased to accelerate capacity delivery: Equinix incurred \$1.6bn of capex in 2Q, bringing 1H26 spending to approximately \$2.8bn, and raised its 2026 total capex guidance to \$5.0bn - \$6.0bn from our prior estimate of \$4.1bn. Roughly 90% of quarterly capex was directed toward expansion, with Equinix planning to double cabinet deliveries in 2H and **accelerate more than 7,000 cabinets previously scheduled for 2027 into 4Q26** (see [Exhibit 2](#) for our expansion tracker). Equinix plans to increase leverage by approximately a turn by '29, and we model an increase in net debt of ~\$13bn and net debt / EBITDA by YE29 at ~4.7x.

Notably, it continues to expect ~25% cash-on-cash returns within three to four years of assets entering service, while the stabilized portfolio currently generates a 27% yield. Sustaining mid-20's stabilized yields is key to further positive estimate revisions ahead (as previously discussed in our capex yield analysis [here](#)). See [Exhibit 1](#) for upside to revenue estimates if Equinix is, in fact, able to bring capacity online at this rate at a stabilized yield of ~25%.

Given the accelerated cabinet delivery schedule, we have raised our '26 revenue growth estimate 50bps to 11.6% y/y from 11.1% y/y. The capex guide implies Equinix utilizes 1 GW of its 3 GW controlled land portfolio by '29, including ~700 MW currently under construction and ~300 MW by the expanded capex plan. In our base case, we now expect a 12.5% revenue CAGR from '26 - '29, and in our **bull case assume a 14% CAGR, driving approximately \$63 of AFFO/share by '29**. As total debt needed to fund expansion increases, AFFO/share estimates are largely unchanged from prior estimates.

See [Exhibit 4](#) for 2Q26 results vs. expectations and [Exhibit 6](#) for changes to our estimates.

Exhibit 1: Our capex yield analysis assumes 25% stabilized yields, implying 16% + y/y recurring revenue growth and potential upside to our estimates if yields hold and Equinix continues to navigate industry-wide power and labor constraints



Source: Company data, Morgan Stanley Research estimates

Exhibit 2: IBX Expansion Tracker shows cabinet volume accelerated from 2027 into 2026, and we now expect 12% revenue growth in '27 in our base case, 14% in our bull case

EQIX IBX Expansion Tracker
(\$ in millions)

	Cabinets											Total Capex (\$mm)
	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	
Americas	900	2,825	5,875	4,475	2,475	2,350	2,775	-	4,575	1,625	1,700	\$4,801
Chicago	-	700	700	-	700	-	-	-	1,675	-	1,700	\$1,224
Dallas	-	-	1,675	-	-	-	1,850	-	1,850	-	-	\$1,026
Miami	-	475	-	-	-	-	600	-	-	-	-	\$151
New York	-	1,100	-	-	-	-	325	-	-	1,625	-	\$576
Sao Paulo	-	-	600	-	700	-	-	-	-	-	-	\$101
Silicon Valley	900	-	2,050	-	-	-	-	-	1,050	-	-	\$708
Washington, D.C.	-	-	-	4,475	-	2,350	-	-	-	-	-	\$766
Other	-	550	850	-	1,075	-	-	-	-	-	-	\$234
EMEA	825	1,850	2,925	1,425	475	325	675	4,400	2,750	1,350	775	\$2,941
Frankfurt	-	-	1,400	-	-	-	-	2,000	775	-	775	\$1,019
Istanbul	-	-	1,325	-	-	-	-	-	-	-	-	\$488
London	-	-	-	1,425	-	-	-	1,425	-	-	-	\$365
Paris	-	-	200	-	475	-	-	-	600	-	-	\$153
Other	825	1,850	-	-	-	325	675	975	1,375	1,350	-	\$916
APAC	-	750	5,400	1,350	2,500	1,600	2,675	975	250	675	500	\$1,816
Hong Kong	-	-	-	-	-	-	-	-	-	-	-	\$0
Johor	-	-	1,100	1,125	-	-	-	725	-	675	-	\$511
Osaka	-	-	-	-	-	500	400	250	250	-	500	\$355
Singapore	-	-	1,550	-	-	-	-	-	-	-	-	\$290
Sydney	-	-	1,350	-	-	-	-	-	-	-	-	\$96
Tokyo	-	750	-	225	-	-	-	-	-	-	-	\$97
Other	-	-	1,400	-	2,500	1,100	2,275	-	-	-	-	\$467
Total	1,725	5,425	14,200	7,250	5,450	4,275	6,125	5,375	7,575	3,650	2,975	\$9,558
	Δ from Previous											
Americas	-550	550	1,550	2,125	-2,600	-1,075	600	-	1,675	-	1,700	907
EMEA	-1,050	-275	2,725	-1,400	-	-	-	250	-	1,350	-	602
APAC	-	-	4,275	-2,650	-	-1,200	200	975	250	675	-850	81
Total	-1,600	275	8,550	-1,925	-2,600	-2,275	800	1,225	1,925	2,025	850	\$1,558

Source: Company data, Morgan Stanley Research estimates

Exhibit 3: xScale Expansion Tracker

EQIX xScale Expansion Tracker
(\$ in millions)

xScale Project	2Q26 Earnings					Δ from Previous				
	Completion	Capacity (MW)	Leased (MW)	Leased (%)	Cost	Completion	Capacity (MW)	Leased (%)	Cost	
Americas		120	120	100%	\$1,264					
Atlanta 10x-1	2Q27	60	60	100%	\$632	NEW	+60	+100%	+\$632	
Atlanta 11x-1	4Q27	60	60	100%	\$632	NEW	+60	+100%	+\$632	
EMEA		42	42	100%	\$578					
Paris 12x-1	3Q26	14	14	100%	\$277	1Q Delay	-	-	-	-
Milan 7x-3	2Q26	10	10	100%	\$78	Done 1Q Early	-	-	+\$11	-
Paris 12x-2	4Q26	14	14	100%	\$145	-	-	-	-	-
Dublin 7x-1	4Q27	4	4	100%	\$78	-	-	-	-	-
APAC		53	39	74%	\$434					
Sydney 9x-2	3Q26	14	0	0%	\$137	-	-	-	-	-
Osaka 5x-1	1Q27	19	19	100%	\$177	-	-	-	-	-
Total xScale		215	201	93%	\$2,276					

Source: Company data, Morgan Stanley Research

Actuals vs. Estimates

Exhibit 4: 2Q26 Actuals vs. Estimates



EQUINIX

Variance Table

Ticker: EQIX

Rating: Overweight

(Values in \$ millions, except per-share and cabinet amounts)		1Q26	MSe 2Q26E	Actual 2Q26	Δ vs. MSe		Cons. 2Q26E	Δ vs. Cons.	
					\$	%		\$	%
Key Financials									
Total Revenue	2,444	2,582	2,625	43	1.7%		2,591	34	1.3%
% y/y growth	9.8%	14.5%	16.4%		189 bps		14.9%		150 bps
% q/q growth	1.0%	5.7%	7.4%		175 bps		6.0%		139 bps
Recurring Revenue	2,331	2,392	2,377	(15)	(0.6%)		2,410	(33)	(1.4%)
% y/y growth	11.7%	11.6%	10.9%		(72 bps)		12.5%		(155 bps)
% q/q growth	1.6%	2.6%	2.0%		(66 bps)		3.4%		(143 bps)
Non-recurring Revenue	113	190	248	58	30.5%		161	67	37.1%
Cash Cost of Revenues	765	801	790	(11)	(1.3%)		784	6	0.7%
Cash Gross Profit	1,679	1,782	1,835	53	3.0%		1,807	28	1.6%
% gross margin	68.7%	69.0%	69.9%		90 bps		69.7%		18 bps
Cash Opex	434	424	439	15	3.7%		444	(5)	(1.2%)
Adjusted EBITDA	1,245	1,358	1,396	38	2.8%		1,362	34	2.5%
% margin	50.9%	52.6%	53.2%		58 bps		52.6%		60 bps
% y/y growth	16.7%	20.3%	23.6%		334 bps		20.7%		297 bps
Depreciation & Amortization	544	572	557	(15)	(2.6%)		573	(16)	(2.8%)
Interest Expense	148	154	151	(3)	(2.2%)		156	(5)	(3.1%)
Diluted EPS	\$4.20	\$4.82	\$4.83	\$0.01	0.2%		\$4.71	\$0.12	2.6%
Adjusted FFO	1,065	1,127	1,168	41	3.6%		1,125	43	3.8%
AFFO / diluted share	\$10.79	\$11.39	\$11.78	\$0.39	3.4%		\$11.38	\$0.42	3.7%
% y/y growth	11.5%	14.9%	18.8%		388 bps		14.6%		420 bps
Quarterly Gross Bookings (Annualized)	378	369	424	55	15.0%				
% y/y growth	8.6%	6.9%	22.9%		1600 bps				
Capex									
Capex (excl. xScale/Land)	1,256	764	1,578	814	106.5%		860	718	83.5%
% of Revenue	51.4%	29.6%	60.1%		3052 bps		33.2%		2693 bps
Recurring Revenue Segments									
Colocation	1,730	1,780	1,772	(8)	(0.4%)		1,793	(21)	(1.1%)
% y/y growth	12.0%	12.3%	11.8%		(48 bps)		13.1%		(130 bps)
Interconnection	446	455	453	(2)	(0.5%)		457	(4)	(0.9%)
% y/y growth	13.5%	11.9%	11.3%		(61 bps)		12.3%		(102 bps)
Managed Infr.	115	119	112	(7)	(5.7%)		121	(9)	(7.4%)
% y/y growth	0.0%	1.5%	(4.3%)		(576 bps)		3.3%		(762 bps)
Other	40	39	40	2	3.9%		38	2	5.7%
Key KPIs									
Global									
Sellable Cabinets	393,800	397,125	395,500	(1,625)	(0.4%)		397,274	(1,774)	(0.4%)
Billable Cabinets	303,400	310,677	307,600	(3,077)	(1.0%)		309,152	(1,552)	(0.5%)
Cross connects	513,000	533,275	522,700	(10,575)	(2.0%)		521,896	804	0.2%
Sellable Cabinets % y/y growth	5.9%	5.6%	5.2%		(43 bps)		5.7%		(47 bps)
Billable Cabinets % y/y growth	4.2%	6.2%	5.2%		(105 bps)		5.7%		(53 bps)
Cross Connects % y/y growth	5.5%	8.3%	6.2%		(215 bps)		6.0%		16 bps

*Implied MRR / Cabinet definition differs from EQIX reported MRR / Cabinet

**Consensus Global MRR / Cabinet calculated as weighted average

Source: Company data, Visible Alpha, Morgan Stanley Research estimates

Risk Reward – Equinix Inc. (EQIX.O) Top Pick

Global Leader in High Connectivity Colocation Data Centers

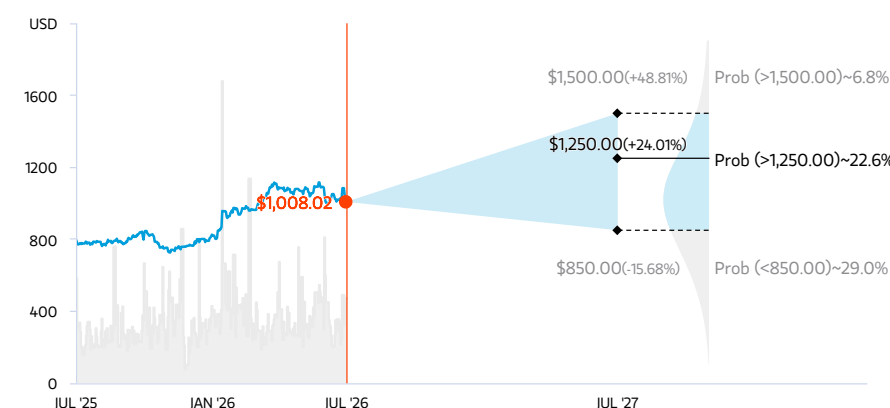
PRICE TARGET \$1,250.00

Our valuation assumes 26x fwd. Adj. EBITDA, or 25x fwd. AFFO / Share. We assume ~11.1% y/y revenue growth in FY26E, with 51% Adj. EBITDA margins and ~12.1% AFFO / share growth.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

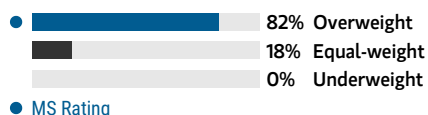


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 29 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- We see robust tailwinds to the retail colocation market, and see Equinix's increased capital spending positioned to further capture this demand.
- We expect MRR / billable cabinet to continue to grow as cabinet power densities increase across the portfolio of assets.
- We see room for growth on the number of interconnections / billable cabinet, increasing the stickiness of Equinix's ecosystem and driving outsized interconnection revenue growth.
- Despite market caution, we view Equinix's long-term guidance as achievable due to long-term benefits from increased capital spending, and see upside from AI related workloads (primarily inference) that is not priced in.

Consensus Rating Distribution



Risk Reward Themes

New Data Era:	Positive
Secular Growth:	Positive
Technology Diffusion:	Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE \$1,500.00

29x fwd. Adj. EBITDA

Enterprises accelerate rollout of generative AI applications and integrations, rapidly increasing the demand for AI inference with low latency requirements. Equinix capitalizes through Tier 1 market locations, best-in-class interconnection network, and modest pricing growth. Assumes ~12% y/y revenue growth in FY26E, with ~52% Adj. EBITDA margins and 14.2% AFFO / share growth.

BASE CASE \$1,250.00

26.1x fwd. Adj. EBITDA

Equinix's capex plans translate into significant returns, leading to results that exceed long-term management guidance from the 2025 Analyst Day. Interconnect continues to be a sticky product, and the data center industry sees firm pricing. Assumes ~1.6% y/y revenue growth in FY26E, with 51% Adj. EBITDA margins and 12.6% AFFO / share growth. 26.1x EBITDA assumes modest multiple expansion given double digit growth in revenue and shifting market narrative to AI winner.

BEAR CASE \$850.00

21.0x fwd. Adj. EBITDA

Macro softness reduces IT infrastructure investment, bringing down data center demand. Equinix sees lower returns on heavy capital investment plan as absorption levels and presales fall short of expectations. Assumes ~10.9% y/y revenue growth in FY26E, with 50.7% Adj. EBITDA margins and ~10% AFFO / share growth.

Risk Reward – Equinix Inc. (EQIX.O)

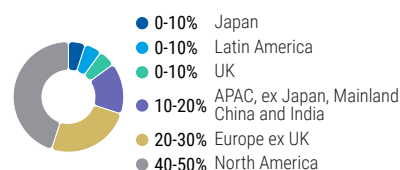
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Total revenue growth (Y/Y) (%)	5.4	11.6	12.0	12.5
AFFO per share growth (Y/Y) (%)	9.4	12.6	11.2	9.8
Adjusted EBITDA growth (Y/Y) (%)	10.6	16.3	13.7	13.3
Capex (\$) (\$, mm)	4,311	5,823	5,996	6,361

INVESTMENT DRIVERS

- Demand has outpaced supply in recent years, putting upward pressure on pricing and benefitting data centers.
- Hyperscalers continue to build AI data centers, and the role of inference in colocation data centers remains uncertain.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Power supply remains constrained, reducing risk of overbuild and strengthening pricing power
- Sustained growth in interconnections / billable cabinets

RISKS TO DOWNSIDE

- Macroeconomic softness reducing investments in IT data center spend
- Excess supply coming online and pressuring pricing power
- Larger than expected power density requirements increasing obsolescence risk
- Interest rates higher for longer

OWNERSHIP POSITIONING

Inst. Owners, % Active	54%	
HF Sector Long/Short Ratio	1.4x	
HF Sector Net Exposure	1.9%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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Global Stock Ratings Distribution

(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

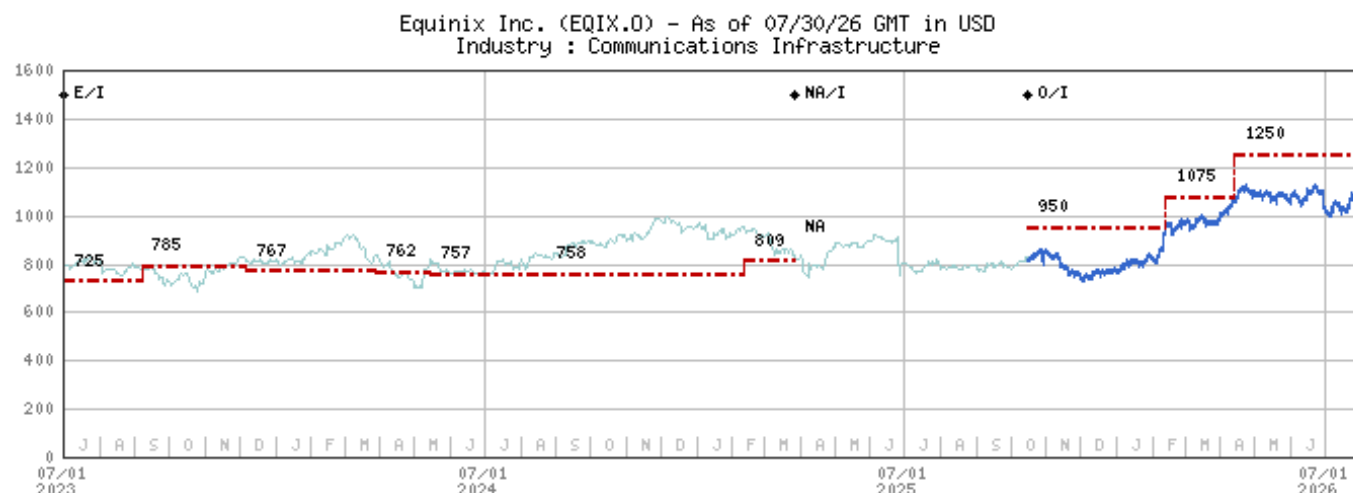
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



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INDUSTRY COVERAGE: Communications Infrastructure

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/29/2026)
Cameron McVeigh, CFA		
American Tower Corp. (AMT.N)	O (03/31/2025)	\$179.26
Blackstone Digital Infrastructure Trust (BXDC.N)	E (06/10/2026)	\$20.10
Crown Castle Corp. (CCI.N)		\$79.09
Digital Realty Trust Inc. (DLR.N)	E (10/16/2025)	\$188.18
Equinix Inc. (EQIX.O)	O (10/16/2025)	\$1,008.02
SBA Communications (SBAC.O)	E (03/31/2025)	\$186.29

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* Historical prices are not split adjusted.